Commercial contracting handbook

Ingrid Kao | Selected work and practical playbooks | 10 November 2026

The work product

I turn contract questions into usable positions, focused evidence requests and clear decisions. This handbook brings together selected negotiation work, NDA and SaaS playbooks, buyer-side hardware issues and bilingual supply terms.

A practical review method

I start with the deal purpose, map the risk to a commercial consequence, and give the business a position it can use. Each issue ends with an action and a decision owner. Sample clauses use fictional parties and illustrative figures; case summaries describe my work.

Inside this handbook

02	**NDA review**	One-page Standard / Fallback / Escalate matrix under NDA-DEMO-1.0.
03-04	**SaaS and services**	Seller-side positions and the approvals needed for an exception.
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09-10	**Judgment and release**	Cloud, subscription and licensing cases; execution checklists and sources.

Sample routing thresholds

Highest severity wins. USD100,000 to below USD250,000: YELLOW Legal/Finance review. USD250,000 or more, or a substantive RED trigger: pause for named approval.

NDA playbook

NDA-DEMO-1.0 | Sample mutual evaluation NDA | Disclosing-party perspective

ISSUE	STANDARD	FALLBACK	ESCALATE AND OWNER
Term and trade secrets	Five years for ordinary information after expiry or termination; trade secrets protected while qualifying under applicable law.	Three years after expiry or termination for ordinary information, with Legal approval; preserve the trade-secret distinction.	No survival, rolling short expiry, or a finite trade-secret cutoff. Legal + IP owner. Five years is a policy assumption, not a statutory term.
Purpose and AI use	Use only to evaluate the stated project. No shared-model training or unrelated commercial use.	Clarify purpose and permitted systems. Broader use needs Legal review; no training permission implied.	Broader internal-business or commercialization use: YELLOW Legal review. Shared-model training or personal data: RED specialist hold; any RED trigger prevails.
Residuals	No residuals or unrestricted remembered-information exception.	Propose deletion or narrowing; any surviving residuals right remains RED. The counterproposal is not acceptance authority.	Any residuals right: immediate RED Legal + IP hold, including narrowed wording. Do not wait for insistence; no automatic acceptance.
Representatives	Need-to-know access, equivalent confidentiality obligations, and recipient responsibility for representatives.	Legal may approve a defined professional-duty carveout for independent advisers, without open-ended onward disclosure.	Unrestricted affiliates or financing sources, or a blanket responsibility disclaimer. Legal + business owner.
Compelled disclosure	Only disclosure legally required; advance notice and cooperation to the extent lawful.	Notice as soon as legally permitted; reasonable assistance at the discloser's expense if agreed.	An unlawful notice duty or disclosure of more than required. Legal; route any actual order to litigation counsel.
Return and destruction	Return or destroy within 30 days of request or end; confirm completion if requested.	Limited legal retention and inaccessible routine backups, continuing confidentiality, no active use; Legal validates feasibility.	Indefinite convenience retention, re-use, or training after exit. Legal + IT; Privacy if personal data is involved.
Scope and authority	Mutual routine evaluation only; verified entities, no extra commercial obligations, documented signature authority.	Correct entity details and schedules before release. Modified paper goes to client Legal.	Exclusivity, noncompete, express unlimited liability, export/sanctions alerts or controlled technology: RED specialist hold.

GREEN eligibility requires unchanged approved paper, routine purpose, no personal data/controlled technology, verified entities and documented authority. Route modifications and exceptions to Legal; obtain named approval for RED issues before signature.

SaaS seller positions

Negotiation playbook | Hosted subscriptions and professional services | Items 1-4

Access and license scope

PREFERRED

Ordered hosted service, named users and affiliates, subscription term and usage limits; separately define any downloadable software.

FALLBACK

Defined contractors may use the service for the customer's purpose, with responsibility and usage controls.

ESCALATE AND OWNER

Resale, perpetual access, source-code rights or omitted intended investor users. Legal + Product + Sales.

Customer data and AI

PREFERRED

Customer keeps its data rights. Provider use is limited to the service and documented purposes; align the Order, DPA and product terms.

FALLBACK

Specifically defined de-identified analytics only after Privacy/Security validation and no re-identification.

ESCALATE AND OWNER

Shared-model training rights, personal data or unsupported residency/deletion promises: RED hold. Legal + Privacy/Security + Product.

Warranties and remedies

PREFERRED

Material conformity to agreed documentation; professional services performed with reasonable skill and care; feasible cure and defined remedies.

FALLBACK

Re-perform deficient services; termination of affected service and an agreed unused-fee refund after failed cure.

ESCALATE AND OWNER

Guaranteed investment outcomes, error-free AI, uninterrupted availability or all customer regulatory compliance. Legal + Product + Services.

Liability architecture

PREFERRED

One aggregate 12-month-fee cap for the affected service, a mutual consequential-loss waiver, and express treatment of exceptions.

FALLBACK

A defined and approved higher cap for specified confidentiality/security claims, assessed against value, insurance and risk.

ESCALATE AND OWNER

Unlimited exposure, conflicting caps or an indemnity defeating the cap. Legal + Finance; Security for data incidents.

Keep exceptions visible: record the issue, business consequence, financial exposure, decision owner and approved final wording.

SaaS seller positions continued

Negotiation playbook | Align the Order, SOW, DPA and master terms | Items 5-8

IP and indemnity

PREFERRED

Defined third-party IP claim protection for authorized use; prompt notice, defense control and license/modify/replace/exit remedies.

FALLBACK

Causally limited exclusions for customer modifications, inputs or combinations; no admissions or new duties through settlement without consent.

ESCALATE AND OWNER

Platform IP transfer or protection for misuse, investment loss or all regulatory penalties. Legal + Product.

SOW and services

PREFERRED

Scope, deliverables, dependencies, milestones, fees, objective acceptance and signed change control; distinguish background tools from custom work.

FALLBACK

Reasonable test and rejection window with cure; phased acceptance and priced changes tied to specific deliverables.

ESCALATE AND OWNER

Unpriced development, undefined tests, impossible milestones or one services dispute stopping all subscription fees. Services + Finance + Legal.

Fees and renewal

PREFERRED

Order states term, quantities, billing, overage mechanism, notice basis and renewal uplift; discounts follow approval authority.

FALLBACK

Approved uplift limit and notice; priced usage true-ups and documented scope reductions.

ESCALATE AND OWNER

Hidden auto-renewal, conflicting Order/master terms, or unapproved discounts/free work. Sales + Finance + Legal.

Suspension and exit

PREFERRED

Suspension for material harm or overdue undisputed amounts, with notice/cure where feasible; workable export and deletion at exit.

FALLBACK

Immediate action limited to imminent security harm, followed by notice/restoration; defined backup exceptions.

ESCALATE AND OWNER

Suspension of unrelated services or an unusable data-export path. Security + Support + Legal; Privacy for personal data.

Record the source version, business consequence, negotiated wording, owner, authority and decision. An accepted fallback is still a decision that needs a record.

Hardware supplier issues for the buyer

Aster Vale Systems Inc. / Northbank Components Ltd. | Fictional procurement | Issues 1-5

Specifications and changes

Freeze the specification revision, drawings, bill of materials and approved manufacturing site. Require advance product/process/site change notice and written approval for material changes. Ask Engineering to define materiality, test impact, stock treatment and who can approve a change. Retain the change ID, cost and effective revision.

ESCALATE AND OWNER

Unannounced substitution or a change affecting safety, certification or interoperability. Engineering/Quality + Procurement + Legal.

Acceptance tied to tests

Attach measurable factory/site acceptance tests, data, sample size, conditions and pass thresholds. Delivery, installation, beneficial use and payment do not themselves equal acceptance. Name the test owner, retest deadline, defect log and written acceptance record. Link milestone payment to the stated result, not the supplier's invoice date.

ESCALATE AND OWNER

No objective criteria, deemed acceptance before testing, or acceptance despite unresolved critical defects. Engineering/Quality + Legal.

Warranty from acceptance

Sample buyer position: 12 months from written acceptance, with agreed repair/replacement/retest and treatment of repaired parts. Confirm storage and commissioning assumptions. Record the actual agreed trigger, duration, exclusions, claim method, return logistics and remedy deadlines. A different trigger needs a visible business decision.

ESCALATE AND OWNER

Warranty starts before the buyer can test, or the exclusive remedy cannot restore essential functionality. Quality + Procurement + Legal.

Quality agreement

Attach or cross-reference the quality agreement, revision and precedence. Allocate audit, traceability, nonconformance reporting, corrective action and recall/cooperation duties. Align technical standards with the purchase agreement; specify who investigates, funds remediation and approves restart. Capture supplier flow-down obligations.

ESCALATE AND OWNER

Safety/regulated-product gaps, inconsistent quality schedules or unowned recall decisions. Quality + Engineering + Legal; regulatory specialist if needed.

End of life and last time buy

Require usable end-of-life/change notice, a last-order window and documented support/spares plan. Notice periods must match forecast, tooling and obsolescence costs. Procurement validates demand and inventory exposure; Engineering validates alternatives. State quantities, lead times, cancellations and storage terms in the last-time order.

ESCALATE AND OWNER

Single-source discontinuation without replacement qualification or unbounded take-or-pay. Supply Chain + Engineering + Finance + Legal.

Hardware supplier issues continued

Aster Vale Systems Inc. / Northbank Components Ltd. | Fictional procurement | Issues 6-10

Liability and exceptions

Read warranty, indemnities, delay remedies, confidentiality, exclusions and the aggregate cap together. Propose defined exceptions or higher caps for specifically allocated risks. Model plausible exposure and available cover; do not treat a cap figure as expected loss. Record each claim category, aggregation rule and approved cap.

ESCALATE AND OWNER

Express unlimited liability, contradictory caps or safety/data/IP risks left unallocated. Senior Legal + Finance; relevant specialist.

Insurance and COI

Specify relevant insurance, limits, territories, periods and endorsements with the risk/insurance owner. Obtain a current COI and the evidence needed to verify contractual requirements. Track policy dates, covered entity, required endorsement and renewal owner. A COI is evidence to check, not a substitute for the underlying policy.

ESCALATE AND OWNER

Missing/expired evidence or wording promising cover not in the policy. Insurance/Risk + Procurement + Legal. Texas example: source S3.

Delivery risk and price

State the selected Incoterms 2020 rule, exact place/point and suitable transport mode. Separately state title, acceptance, price-change notice and customs responsibilities. Procurement and Logistics sign off on freight, insurance and landed-cost assumptions. Preserve accepted PO prices unless a documented amendment says otherwise.

ESCALATE AND OWNER

Unclear transfer point, mismatched trade term/mode, or unilateral retroactive price changes. Logistics + Finance + Legal. Source S2.

Tooling data and IP

Separate buyer tooling/materials, supplier background IP, deliverables, licenses, documentation and access needed for support or a replacement source. List assets, custodians, permitted uses, return rights and practical access at insolvency/exit, subject to relevant law and third-party rights.

ESCALATE AND OWNER

Supplier owns buyer-funded improvements without usable rights, or exit depends on unavailable data. Engineering + IP Legal + Procurement.

Payment and continuity

Tie deposit, delivery and acceptance amounts to named evidence. Separate a disputed invoice from undisputed amounts; specify notice, cure and proportionate suspension/exit rights. Finance validates budget, currency, taxes, invoice requirements and credit exposure. Retain recovery, service transition, spare-parts and open-order actions.

ESCALATE AND OWNER

Advance payment without safeguards, disputed acceptance treated as complete, or critical supply stopped without an agreed path. Finance + business owner + Legal.

Clause revisions

Illustrative clauses | Red strikeout removes text; blue underline adds text

NDA purpose and model use

BEFORE

Recipient may use Confidential Information for any internal business purpose, including training shared models.

REDLINE

Recipient may use Confidential Information ~~for any internal business purpose, including training shared models~~ solely to evaluate the Project and may not use it to train a shared model.

This revision keeps use within the evaluation purpose. Shared-model training requires RED specialist review under NDA-DEMO-1.0. Owner: Legal + Product + Privacy/Security.

Hardware acceptance and warranty

BEFORE

Goods are accepted on delivery. The warranty ends twelve months after shipment.

REDLINE

Goods are accepted ~~on delivery~~ only after the Buyer's written confirmation that the Schedule 2 tests passed. The warranty ends twelve months after ~~shipment~~ written acceptance.

This ties payment and remedy timing to evidence of usable performance. Engineering must approve the test schedule and warranty assumptions. Owner: Quality + Procurement + Legal.

Cloud liability structure

BEFORE

All claims, including confidentiality claims, are subject to an aggregate cap of twelve months of fees.

REDLINE

Except for the separately defined Security Claims cap in Schedule 3, all claims ~~, including confidentiality claims,~~ are subject to an aggregate cap of twelve months of fees.

This revision separates the general cap from a defined security-claims cap. Schedule 3 must specify scope, amount and aggregation. Owner: Legal + Finance + Security.

Bilingual supply terms

English / Traditional Chinese sample clauses | Buyer perspective | Fictional parties and addresses

TOPIC	ENGLISH POSITION	中文要點	DECISION RECORD
Change control	Specifications change only through a written change order signed by the designated Engineering and Procurement approvers; record price and delivery effects.	規格變更須由指定工程及採購核准人以書面變更單確認，並列明對價格、交期及既有庫存的影響。	Change ID; drawing/BOM revision; cost; delivery; approver.
Price notice	Illustrative buyer position: 60 days' advance written notice for future prices. Accepted POs retain their agreed price unless both parties amend them.	示範買方立場：未來調價應提前六十日書面提出；已接受的採購單維持原價，除非雙方另以書面修改。	Effective date; affected SKUs; open POs; Finance decision.
Purchase orders	POs bind only on written acceptance under the agreed procedure. Identify quantities, revision, delivery date and precedence; a conflicting PO footer does not silently amend the master.	採購單依約定程序經書面接受後生效，應列明數量、規格版本、交期及文件優先順序，不以單方頁尾條款默示修改主約。	PO/version; acceptance evidence; MOQ; master precedence.
Incoterms	Illustration: FCA Northbank Gate 2, 18 Example Road, Taoyuan, Taiwan, Incoterms 2020; suitable for any transport mode. Allocate title and acceptance separately.	示例：FCA 臺灣桃園市範例路十八號 Northbank 二號門，Incoterms 2020；適用各種運輸方式。所有權移轉與驗收另行約定。	Exact named point; version; mode; freight/insurance owner.
Acceptance	Acceptance follows the attached objective tests and written sign-off. Define the test window and retest; mere silence, delivery or payment does not establish acceptance under this sample clause.	本示範條款以附件客觀測試及書面確認為驗收基準，明定測試及複驗期間，不以單純沉默、交貨或付款視為驗收。	Test protocol/results; defect list; signed acceptance date.
Liability cap	Record the agreed general cap and each defined exception or higher cap. Read indemnities and exclusions with it; obtain approval for the full exposure, not just the headline number.	列明一般責任上限及各項除外或較高上限，併同補償義務與損害排除條款審閱，核准範圍應涵蓋整體曝險。	Claim category; aggregate period; exception; approval.

Language precedence, governing law, translations and document hierarchy need express agreement. These are key-term summaries, not a complete bilingual supply agreement. Incoterms example is illustrative; Logistics and Legal must validate the selected rule and exact point. Source S2.

Negotiation judgment in three cases

Selected work | Followed by short illustrations of the drafting approach

Cloud cap and confidentiality

CLOUD AGREEMENT REVIEW

I identified a mismatch between a provider's liability cap and a separate confidentiality remedy and recommended an increase. The signed agreement raised the cap. Its terms included a six-hour repair commitment and service credits.

Illustrative comparison: a USD240,000 general cap sits beside a USD1,000,000 stated confidentiality remedy. The USD760,000 difference makes the precedence question visible; recoverability depends on the agreed wording and applicable law.

Decision: resolve precedence and define the cap or carveout for the relevant claim; align indemnities and exclusions, then record Legal/Finance approval.

Subscription terms from both sides

CUSTOMER-SIDE SUBSCRIPTION REVIEW

I reviewed an enterprise subscription order and general terms from a global software vendor, identifying overage billing, renewal uplift, suspension, limited remedies and a fee-based liability cap.

Seller-side preparation: show usage measurement and notice, the effect of reduced scope on renewal price, the cure/termination route for repeated service failure and treatment of data claims.

Decision: make usage, pricing and remedy mechanics explicit, and align the Order with the master terms. Sales/Deal Desk approves pricing; Legal makes the words match.

Battery management technology license

PATENT AND TECHNOLOGY LICENSE

I negotiated a cross-border patent and technology license, separating ownership of improvements from use rights and addressing sublicensing and staged payments. Both parties signed.

Sample structure: Northbank retains background technology; Aster Vale owns its new improvements, with separately defined use rights. Affiliates and approved manufacturing partners receive bounded sublicenses. A fictional USD120,000 fee is split between signature and verified technology transfer.

Decision: settle ownership, use, sublicensing and payment as four linked questions. Confirm patent schedules, transfer evidence and any export-control review before execution.

Review and release checklists

MSA / SOW and construction subcontract review | Scope, evidence, risk and execution

MSA and SOW

- Identify the right entity, business owner, paper version and transaction purpose.
- Map the MSA, Order, SOW, DPA, SLA and schedules; resolve precedence.
- State deliverables, exclusions, dependencies and change control.
- Set objective acceptance, rejection, cure and retest steps.
- Check IP ownership, background tools and usable licenses.
- Validate data scope, AI use, security commitments and exit feasibility.
- Reconcile fees, taxes, milestones, invoice evidence and renewal notices.
- Read warranties, indemnities, remedies, exclusions and caps together.
- Record fallback authority, specialist approvals and remaining exceptions.
- Retain final clean text, exhibits, approval record and signed version.

Construction subcontract

- Define site, scope, drawings, specification revision and programme.
- Align prime-contract flow-downs; identify terms the subcontractor cannot perform.
- Separate variations, change orders, rates and authorized instructions.
- Tie progress/acceptance payment to stated evidence and sign-off.
- Review delay, extension, notice, cure and termination mechanics.
- Allocate safety, access, supervision and quality responsibilities.
- Check licensing, permits and employment-related obligations with local specialists.
- Match insurance requirements to policy/endorsement evidence, not COI labels.
- Check indemnities and caps against project value and insurable exposure.
- Set handover, defects, warranty, close-out and record-retention duties.

Final execution quality gate

Exact party names; complete exhibits; consistent defined terms; correct signature blocks; no unresolved brackets or hidden redlines; verified signer authority and notice details.

Primary reference notes checked 10 November 2026

S1 18 USC 1839 definitions. U.S. federal trade-secret definition. The sample five-year period is a contract-policy choice, not a duration stated by this section.

https://uscode.house.gov/us/usc/119-118/t18/s1839/

S2 ICC Incoterms 2020 and commercial contracts. Trade-term scope and how to name a point and version. Incoterms allocate delivery/risk/cost responsibilities; they do not determine title or acceptance remedies.

https://library.iccwbo.org/clp/clp-incoterms-qa-2020.htm?AGENT=ICC_HQ

S3 Texas Department of Insurance COI FAQ. Texas-specific example: certificate information cannot expand underlying policy terms. Verify the applicable jurisdiction and actual policy/endorsements.

https://www.tdi.texas.gov/certificates/faq.html